9. Income Taxes

The provision for income taxes on income from operations is comprised of the following for the years ended December 31, 2009 and 2008 (in thousands):

	Year Ended December 31, 2009	Year Ended December 31, 2008	Year Ended December 31, 2007
Current tax provision (benefit):			
Federal	$ —	$ —	$ 1,680
State and city	269	—	997
Foreign	496	826	1,035
	765	826	3,712
Deferred tax provision (benefit):			
Federal	(22,653)	(23,334)	(9,909)
State	(4,313)	(10,803)	(3,156)
Foreign	—	—	104
	(26,966)	(34,137)	(12,961)
Total tax provision	$ (26,201)	$ (33,311)	$ (9,249)

Net deferred tax asset consists of the following (in thousands):

	As of December 31, 2009	As of December 31, 2008
Goodwill	$ (26,010)	$ (23,772)
Basis differential in property and equipment	(6,180)	(20,008)
Deferred costs and other	(56)	(351)
Unrealized gain on warrants	(2,561)	—
Total deferred tax liability	(34,807)	(44,131)
Stock compensation	21,586	17,543
Derivative instruments	3,800	8,753
Investment in unconsolidated subsidiaries	42,074	29,996
Designer fee payable	5,857	5,570
Other	4,310	10
Foreign exchange losses	1,164	200
Convertible bond	13,774	14,807
Net operating loss	54,058	28,257
Valuation allowance	(27,836)	—
Total deferred tax asset	118,787	105,136
Net deferred tax asset	$ 83,980	$ 61,005

Table of Contents

The Company has Federal net operating loss carryforwards (“NOL Carryforwards”) of approximately $138.5 million at December 31, 2009. These NOL Carryforwards are available to offset future taxable income, and will expire in 2028 and 2029. The Company has State NOL Carryforwards of approximately $158.2 million in aggregate at December 31, 2009. These State NOL Carryforwards are available to offset future taxable income and will expire in 2028 and 2029.

The Company has established a reserve on its deferred tax assets based on anticipated future taxable income and tax strategies which may include the sale of a property or an interest therein. The total reserve on the deferred tax assets for December 31, 2009 was $27.8 million.

A reconciliation of the statutory United States Federal tax rate to the Company's effective income tax rate is as follows:

	Year Ended December 31, 2009	Year Ended December 31, 2008	Year Ended December 31, 2007
Federal statutory income tax rate	35%	35%	34%
State and city taxes, net of federal tax benefit	7%	7%	6%
Foreign tax benefits	—	—	-3%
Valuation allowance	-22%	—	—
Other including non deductible items	1%	-6%	—
Effective tax rate	21%	36%	37%

The Company has not identified any tax positions in accordance with ASC 740-10 (formerly FIN 48) and does not believe it will have any unrecognized tax positions over the next 12 months. Therefore, the Company has not accrued any interest or penalties associated with any unrecognized tax positions. The Company's tax returns for the years 2008 and 2007 are subject to review by the Internal Revenue Service.